

25NNCV06903 25NNCV06903

County: los-angeles

Division: Civil Law and Motion

Department: 3

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Motion: PLAINTIFF/CROSS-DEFENDANT GANG YANG'S DEMURRER TO CROSS-COMPLAINT

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Case Number: 25NNCV06903 Hearing Date: June 30, 2026 Dept: 3

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHEAST
DISTRICT

GANG YANG,

Plaintiff(s),

vs.

ANNE
CHUI, et al.,

Defendant(s).

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CASE NO.: 25NNCV06903

[TENTATIVE]

ORDER RE: PLAINTIFF/CROSS-DEFENDANT GANG YANG'S DEMURRER TO CROSS-COMPLAINT

Dept.

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8:30

a.m.

June 30,

2026

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I.

INTRODUCTION

On September 30, 2025, plaintiff Gang

Yang ("Yang") filed this action against defendants Anne Chui, Rogers Chui, A1 Meat Inc. ("A1"), and A&R Trust for breach of contract, fraud, conversion, and common counts. Yang allegedly invested \$500,000 into A1 in exchange for maintaining business operations that would meet the minimum requirements for a company under the EB-5 program. Anne Chui and Rogers Chui also agreed to provide all necessary documents Yang would need to apply for and obtain his EB-5 visa. Yang received a conditional green card in 2019 and was required to submit an application demonstrating that A1 met all the requirements of the EB-5 program within

2 years. Yang alleges that A1 never met those requirements and that the appropriate paperwork was never provided, forcing Yang to file a lawsuit in November 2020. This lawsuit settled in November 2020 on or about February 22, 2024, when the parties entered into a written Settlement Agreement. Yang alleges that despite having signed the settlement agreement, this lawsuit is necessary because he has been unable to obtain a permanent green card due to the failure to provide requested documentation.

On March 16, 2026, Anne Chui, Rogers Chui, and A1 (“Defendants”) filed a cross-complaint against Yang for apportionment of fault, indemnification, declaratory relief, and abuse of process.

II.

LEGAL

STANDARD

A demurrer for failure to state facts

sufficient to constitute a cause of action should be sustained where the pleading does not “contain a statement of facts which, without the aid of other conjectured facts not stated shows a complete cause of action.” (Baldwin v. Marina City Prop., Inc. (1978) 79 Cal.App.3d 393, 409 [internal citation omitted]; see also Los Altos Golf & Country Club v. County of Santa Clara (2008) 165 Cal.App.4th 198, 203.)]

III.

DISCUSSION

A.

Apportionment
of Fault and Indemnification

Defendants argue that their cross-complaint appropriately asserts a claim for apportionment of fault and indemnification because they are seeking to recover fees and costs pursuant to Code of Civil Procedure section 1032. Apportionment of fault may be asserted in a cross-complaint for equitable indemnity, but indemnification requires a finding of joint liability. (Jocer Enterprises, Inc. v. Price (2010) 183 Cal.App.4th 559, 573-574.) Defendants’ attempt to recover fees and costs as a prevailing party is irrelevant to whether a claim for equitable indemnity is

stated.

Therefore, the demurrer to the First and Second Causes of Action of the Cross-Complaint is SUSTAINED with leave to amend.

B.

Declaratory

Relief

To allege facts sufficient to state a cause of action for declaratory relief, the plaintiff must allege "two essential elements: '(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.' " (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.)

Defendants do not identify a proper subject of declaratory relief in their Cross-Complaint and do not allege any facts supporting an actual controversy. Defendants only allege that "an actual controversy and/or controversies exist between the parties concerning their respective rights and duties," without specifying which rights and duties are at issue and whether a specific law, contract, or written instrument is involved.

Therefore, the demurrer to the Third Cause of Action for Declaratory Relief is SUSTAINED with leave to amend.

C.

Abuse

of Process

Under California law, a claim for abuse of process requires two essential elements. First, the defendant must have entertained an ulterior motive in using the legal process. (Bakos v. Roach (2025) 108 Cal.App.5th 390, 399.) This means the defendant used the process for a purpose other than that for which it was designed. (Ramona Unified School Dist. v. Tsiknas (2005) 135 Cal.App.4th 510, 520-521.) Second, the defendant must have committed a willful act in the use of the process that was not proper in the regular conduct of the proceeding. (Bakos,

supra, 108 Cal.App.5th at p. 399.) This requires some definite act or threat not authorized by the process, or aimed at an objective not legitimate in the use of the process. (Maleti v. Wickers (2022) 82 Cal.App.5th 181, 230-231.) Examples of improper uses include wrongful discovery practices, service of improper attachments, obtaining restraining orders based on false representations, and filing collection actions in improper venues to impair defendants' ability to defend themselves. (Ibid.)

The Cross-Complaint fails to state a claim for abuse of process because Defendants only allege that Plaintiff filed a lawsuit without merit, not that there was any misuse of tools that are afforded to a litigant once the action has commenced. (Cross-Comp., ¶ 44 [alleging Plaintiff wrongfully sued Defendants].)

Accordingly, the demurrer to the Fourth Cause of Action is SUSTAINED.

IV. CONCLUSION

The demurrer to the Cross-Complaint is SUSTAINED with 20 days' leave to amend.

Plaintiff to give notice.

Dated
this 30th
day of June 2026

William A.
Crowfoot

Judge of the Superior Court

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a

submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court may, at its discretion, adopt the tentative as the final order or place the motion off calendar.